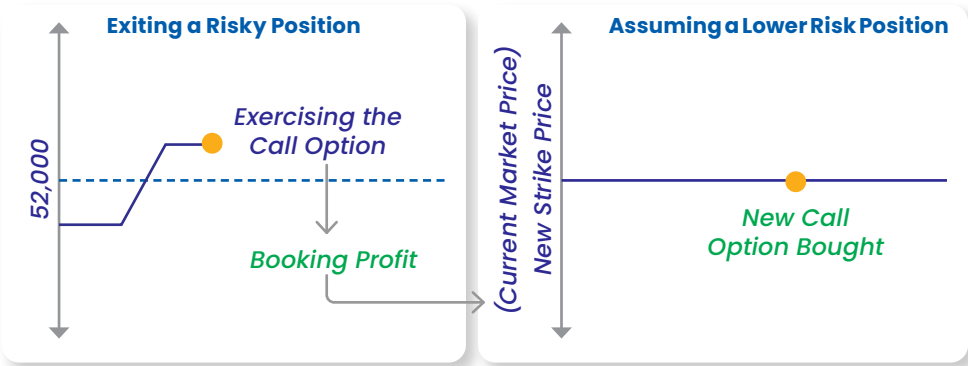


Also, when the fire moves, you must move with the fire.



*If Profits Not Booked – Market Collapse
Risk- Losing The Entire Premium*

Suppose you bought a Bank Nifty call with a strike price of 52,000. At the time, the ATM was 52,000. **When the Bank Nifty rises, the value of your call will increase. When this happens, you must book your profits.** You must enter a new call at the current market price as the strike price. You would be exiting a risky position to assume a relatively low-risk position. You will also book profits.

In the same scenario, suppose you did not book your profits when Bank Nifty rose and the market collapsed. You may even lose your entire premium. Hence, you must move back in line with the fire.

As an option seller

Conversely, an option seller must maintain a safe distance from the fire. At the fire, the premium is the highest. The risk of traders exercising their options is also high. However, what if you go too far from the fire? You cannot receive any premium.

